1. Company Overview

Baltic Cement Industries SIA (LV-40203456789) is a Latvian cement and building materials manufacturer with operations in Latvia, Lithuania, and Estonia. Founded in 1992, the company operates three production plants with a total clinker capacity of 2.8 million tonnes per year. Employees: 890.

2. Financial Highlights

Revenue: EUR 310 million (2024: EUR 295 million)
EBITDA: EUR 62 million (2024: EUR 58 million)
Net income: EUR 18 million (2024: EUR 15 million)
Total assets: EUR 520 million
Total equity: EUR 180 million
Total debt: EUR 240 million
Total liabilities: EUR 340 million

Revenue growth of 5.1% was driven by infrastructure investment across the Baltic states under the EU Recovery and Resilience Facility.

3. Risk Management

Key risks include commodity price risk (energy and raw materials account for 60% of production costs), currency risk (EUR/USD for imported coal), regulatory risk (EU ETS carbon permit costs), and environmental liability risk.

The company participates in the EU Emissions Trading System (ETS) and currently holds carbon permits covering 85% of annual emissions. The shortfall is purchased on the spot market. Carbon allowance cost in 2025: EUR 78/tCO2.

4. Sustainability and ESG

Cement manufacturing is a carbon-intensive industry. Baltic Cement's total Scope 1 emissions were 1,850,000 tCO2e in 2025 (primarily from clinker calcination and fuel combustion). Scope 2 emissions: 95,000 tCO2e.

Carbon intensity: 0.68 tCO2 per tonne of cement (industry average: 0.60).
The company's carbon intensity exceeds the EU Taxonomy technical screening criteria for cement (0.498 tCO2/t for climate mitigation alignment).

Transition plan: Invest EUR 120 million over 5 years in:
- Alternative fuels (waste-derived fuels to replace 40% of coal by 2028)
- Clinker substitution (targeting 30% slag/fly ash blend by 2029)
- Carbon capture pilot (feasibility study commissioned, report due Q4 2026)

Water usage: 1.2 million cubic metres annually. One plant (Riga) is located in a high water stress area per WRI Aqueduct. No circular economy programme.

Social: 12 lost-time injuries recorded in 2025 (LTIR: 13.5). One significant dust emission exceedance event at the Klaipeda plant triggered a regulatory fine of EUR 85,000. Supply chain consists primarily of local quarries; no human rights assessment of raw material suppliers has been performed.

5. Governance

Board of Directors: 6 members, 1 independent. The majority shareholder (CemCo Holdings, 72%) appoints 4 of 6 directors. No dedicated ESG or sustainability committee. Executive compensation is not linked to ESG targets.

The company was subject to a regulatory inspection by the Latvian Competition Authority in Q3 2025 regarding allegedly coordinated

pricing in the Latvian market. The investigation is ongoing.